

INDIAKART

MANAGEMENT SUMMARY REPORT

Business Performance, Risks & Growth Opportunities

To: Chief Executive Officer, IndiaKart

Subject: Management Summary — Business Performance, Risks & Growth Opportunities

Reporting Period: Based on the analysed IndiaKart datasets and dashboard findings

1. Executive Summary

IndiaKart is showing a strong overall revenue position, with Gross Merchandise Value (GMV) of ₹314.74 crore and net revenue of ₹205.39 crore from 50,000 orders. Customer demand remains relatively stable throughout the year at around 2,000 orders per month, with noticeable increases during the Diwali period in October and November. Electronics is the strongest category, accounting for 56.5% of revenue, while Regular customers form the largest customer segment and Premium customers have the highest average customer value. However, operational performance requires attention, particularly the 11.99% cancellation rate, 30.77% return rate, and 3.5% payment failure rate. Inventory availability is currently a strength, with 998 of 1,000 SKUs in stock, giving an inventory fill rate of 99.8%. Overall, IndiaKart has a healthy revenue and inventory foundation, but reducing cancellations, returns, and payment failures should be a management priority to protect revenue and improve customer experience.

2. Top 3 Findings

Finding 1 — Strong Revenue, but High Returns and Cancellations

IndiaKart generated the following results:

- GMV: ₹3,147,385,544.58
- Net Revenue: ₹2,053,858,611.96
- Total Orders: 50,000
- Average Order Value: ₹63,197.59
- Cancelled Orders: 5,996
- Cancellation Rate: 11.99%
- Return Records: 10,000
- Reported Return Rate: 30.77%

The return-rate target is less than 8%, so the current reported rate is substantially above the target. Management should focus on converting more orders into successful, retained revenue.

Finding 2 — Electronics Is the Main Revenue Driver

Electronics is the strongest category in the analysis and accounts for 56.5% of revenue. This makes Electronics a major contributor to IndiaKart's overall financial performance. Management should continue supporting this category while also monitoring dependence on one major revenue source.

Finding 3 — Premium Customers Have the Highest Value

Customer analysis shows five segments: Budget, Inactive, New, Premium and Regular. Premium customers have the highest average customer value at ₹532,735, compared with ₹361,870.72 for Regular customers. The Premium-to-Regular value ratio is 1.47×. Regular customers are the largest customer segment, creating an opportunity to encourage valuable Regular customers toward higher-value purchasing behaviour.

3. Risks Identified

3.1 High Return Rate

Current reported return rate: 30.77%

Target: < 8%

Status: Target Missed

This is the most significant operational concern identified in the analysis. A high return rate can reduce the value of sales, increase handling costs and negatively affect customer satisfaction. Management should investigate the main return reasons and identify products, categories or warehouses with unusually high return levels.

3.2 Cancellation Rate Above Target

Cancelled orders: 5,996

Cancellation rate: 11.99%

Benchmark: < 10%

IndiaKart should investigate whether cancellations are concentrated around specific products, payment methods or periods.

3.3 Payment Failure Rate

Total payments: 50,000

Failed payments: 1,748

Payment failure rate: 3.5%

Benchmark: < 2%

Payment failures can prevent customers from completing purchases. IndiaKart should investigate payment gateway and payment-method performance.

3.4 Data Quality Risk

- 17,501 orders have a missing delivered_date, approximately 35% of orders.
- refund_date is missing for all 50,000 payment records.
- 312 orders have a final amount above ₹500,000 and require investigation.
- 457 registered customers have zero orders.
- 2 products are currently marked as out of stock.
- No duplicate records were identified, and return order IDs successfully matched orders.

The data is generally structurally reliable, but missing delivery and refund information limits the ability to measure some operational processes accurately.

4. Opportunities

Opportunity 1 — Reduce Returns

The gap between the current 30.77% return rate and the <8% target represents a major improvement opportunity. IndiaKart should identify the most common return reasons, products with unusually high returns, categories with high return rates, and warehouses with higher return levels.

Opportunity 2 — Develop Premium Customers

Premium customers have an average customer value of ₹532,735, compared with ₹361,870.72 for Regular customers. IndiaKart can focus on retaining Premium customers while identifying Regular customers who show similar purchasing behaviour.

Opportunity 3 — Use Diwali Demand More Effectively

Order volumes showed noticeable increases during October and November in both 2023 and 2024, corresponding with the Diwali shopping period. IndiaKart can prepare earlier through inventory planning, promotional campaigns, payment-capacity planning and popular-product stock preparation. Lower June volumes may be related to partial months in the dataset.

Opportunity 4 — Build on Electronics Strength

Electronics accounts for 56.5% of revenue and is the strongest category. IndiaKart should continue investing in this category while examining ways to increase the contribution of other categories.

5. Recommendations

Recommendation 1 — Launch a Return Reduction Programme

Priority: Very High

1. Review the top returned products every month.
2. Track the main return reasons.
3. Measure return rate by category and warehouse.
4. Compare return behaviour across customer segments.
5. Set a clear goal of reducing the reported 30.77% return rate toward the <8% benchmark.

Recommendation 2 — Improve Payment Success

Priority: High

6. Compare payment failure rates by payment method.
7. Compare payment gateway performance.
8. Identify recurring failure patterns.
9. Monitor payment failures weekly.
10. Work toward reducing the failure rate below 2%.

Recommendation 3 — Reduce Order Cancellations

Priority: High

11. Analyse cancellations by product, category, payment method, customer segment and month.
12. Identify the main causes of cancellation.
13. Establish corrective actions for the most common causes.
14. Work toward reducing the 11.99% cancellation rate below 10%.

Recommendation 4 — Strengthen Premium Customer Retention

Priority: Medium–High

Create targeted retention programmes for Premium customers and identify high-value Regular customers who could potentially become Premium customers. This can increase customer value without relying entirely on acquiring new customers.

Recommendation 5 — Improve Data Tracking

Priority: Medium

15. Record delivery dates when orders are delivered.
16. Record refund dates whenever refunds occur.
17. Ensure payment and refund records can be connected reliably.
18. Perform regular data-quality checks.

6. CEO Action Summary

Priority	Issue / Strength	Current Result	Target / Direction
Very High	Return Rate	30.77%	<8%
High	Cancellation Rate	11.99%	<10%
High	Payment Failure Rate	3.5%	<2%
Strength	Inventory Fill Rate	99.8%	>95%
Strength	Electronics Revenue Share	56.5%	Maintain / diversify
Strength	Net Revenue	₹205.39 crore	Continue growth
Strength	GMV	₹314.74 crore	Continue growth

7. Conclusion

IndiaKart has a strong commercial foundation, with ₹314.74 crore in GMV, ₹205.39 crore in net revenue and a healthy 99.8% inventory fill rate. Electronics is the dominant revenue category, while Premium customers provide the highest customer value. However, the business is losing significant potential through high returns, cancellations and payment failures. The most urgent management priority should therefore be improving the percentage of orders that successfully become retained revenue. At the same time, IndiaKart should use its strong Premium customer base, Electronics category and seasonal Diwali demand to support controlled growth. Reducing operational problems while protecting existing revenue strengths should provide the clearest path to stronger overall business performance.